

Trump retains final say on tariffs, sanctions if Graham bill passes

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Editorial note: EG's US daily will shift to a Tuesday and Thursday publication schedule for the month of August, beginning Monday 3 August. Trump reta|||||||

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Trump retains final say on tariffs, sanctions if Graham bill passes. The Senate voted 86-12 to advance Senator Lindsey Graham's legacy Russia sanctions bill last night after Ukrainian President Volodymyr Zelensky met with a bipartisan group of Senators to emphasize the need for new legislation.

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Last night's vote was a procedural vote, and final passage will require another Senate vote. The bill's overwhelming bipartisan support positions it well to pass the chamber. With the House already having adjourned for August recess, House consideration will be delayed into the early fall, and will face some opposition from House Democrats opposed to granting Trump new tariff authorities.

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The bill has three main components: a provision allowing the US to apply 100% tariffs to the top five purchasers of Russian oil and gas, codification of sanctions applied to Russian entities under executive orders, and expanded and formalized Iran sanctions. The Iran provisions were added in a last-minute push, while the tariff and sanctions provisions were amended from the initial version to grant the White House final say over implementation and enforcement.

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Codifying existing sanctions will make them potentially more difficult to eliminate completely in a scenario where a peace deal can be reached, though the administration will retain the ability to pause enforcement via general licenses. The tariffs appear to be primarily a tool to threaten; Treasury Secretary Scott Bessent was reportedly one of the last holdouts in the White House over concerns the bill would damage the US economy. With the EU set to end purchases of Russian LNG on Jan 1 2027, the largest purchasers would likely be China and India, both of which are targets for US dealmaking. For

more please see US Daily: Defense and agriculture funding on track via reconciliation or otherwise 15 July, 2026.

Midterms and Iran war point to a more hawkish Fed path. Eurasia Group's analysis predicts a more hawkish Fed path, regardless of when the first hike lands. While the timing of the first hike of Kevin Warsh's Fed will largely depend on the FOMC's reaction function (see story below), which is hard to predict, our analyses point to more tightening ahead.

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A likely divided Congress after the midterms would add fiscal pressure, reinforcing the tightening path. Midterms have historically triggered a hawkish repricing of Fed expectations (see: Geoeconomics, United States: US midterms likely to shift expectations of Fed actions 27 July, 2026); we think this pattern will be especially true in this cycle, as under our basecase of a Democratic House, welfare cuts will likely be delayed or diluted and spending increased (see: CONFERENCE CALL NOTES: US Politics: Into the Midterms 17 July, 2026).

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Likely US-Iran escalation puts upward pressure on US inflation at little cost to growth. We expect continued escalation and no durable reopening of Hormuz (see: Oil Markets Weekly: Hormuz closure will endure as escalation risk drives volatility 27 July, 2026). Most of June's disinflation came from cheaper energy, which at current prices likely reverses in the July and August reports. Because the aggregate impact of higher energy prices on US growth is minimal (see Geoeconomics: Escalation in the Middle East tests global resilience buffers 23 July, 2026), the war's economic impact falls almost entirely on the inflation side of the Fed's mandate.

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Technical factors will make inflation look softer at the margin, and potentially make tightening harder to justify politically. Rents on new leases are cooling, and official shelter inflation will catch down to them with a lag. September's PCE revisions will trim roughly a tenth off core, revised back to 2021, mainly by pricing investment-management fees off industry wages rather than stock-market values. And quality adjustments, which count more powerful memory chips as price cuts, already flattered June's print. Hiking against optically cooler data could be a hard sell for the Fed.

...While an early hike would say more about Warsh than the economy. The case for hiking today rests on a changed Fed's reaction function, not changed data.

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A move today is plausible but not our or the market's basecase, and dissents will be the tell. Nothing in the data since June's soft inflation report argues for a hike; but the chairman's limited communication sounds hawkish and seems inclined to redress past Fed "failures." Two dissents in favor of hiking would be manageable for Warsh; a third joining them would suggest the committee might be outrunning its chair.

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Markets pricing a full September hike seems to rest more on oil expectations than economic data. If the Fed holds today, little data arrives in time to justify September, and August's Jackson Hole conference comes too soon for Warsh to present the intellectual case his task forces are still building. September is mainly live under our US-Iran escalation basecase, with oil prices remaining elevated and reversing the June energy disinflation.

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The energy price impact of the war in Iran makes an early hike likelier; an early hike would make the war politically costlier. A move today or in September would likely be read as driven by the war's energy shock, leaving voters facing higher energy prices and borrowing costs at once, increasing pressure on Trump to find a resolution to the war. A December hike would carry less charge, as the administration will face pressure to deliver some resolution on Iran by then regardless.

Quote of the Day

"We are going to beat the ****ing **** out of [Iran]...We will be hitting them hard." – President Trump's response to attacks on US soldiers in Jordan, as reported by Fox News. On the heels of pausing strikes late last week, President Trump now strikes a more bellicose tone, In line with our base case of US escalation by mid-September (55% odds). For more, please see CONFERENCE CALL NOTES: Iran war escalation & energy implications 29 July, 2026.

On the Radar

27 July – 28 August: House on recess

4 August: Michigan primary election

10 August – 11 September: Senate on recess

19 August: Section 338 tariffs on Canada go into effect

3 November: National midterm elections

Clayton Allen

Practice Head, United States

+1 202.903.0027

allen@eurasiagroup.net

Pietro Guglielmi

Analyst, Geoeconomics

+44 207 375 6937

guglielmi@eurasiagroup.net

Kendal Walker

Senior Analyst, United States

walker@eurasiagroup.net

EG US Daily

unitedstates@eurasiagroup.net

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